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MEMORANDUM OF AGREEMENT (MOA)

FOR THE DEVELOPMENT AND IMPLEMENTATION OF A CUSTOMIZED LENDING SYSTEM

This Memorandum of Agreement (MOA) is made and entered into this ___ day of _______, *20*___ by and between:

[___________________________________],

a duly registered company/organization with office address at
______________________________,
hereinafter referred to as the "CLIENT",

– and –

[ZAPWEB],

with principal office address at Rosal St., Panorama Homes, Brgy.Buhangin, Davao City
represented herein by [**Brayan Lee A. Bautista**],
hereinafter referred to as the "DEVELOPER."

Collectively referred to as the "Parties."

WHEREAS:

1. The CLIENT is engaged in a lending business and desires to upgrade its current manual or Excel-based operations into an automated, customized, computerized system;
2. The DEVELOPER specializes in developing and maintaining customized software systems, including mobile, web, and desktop applications;
3. The CLIENT has expressed its intention to engage the DEVELOPER to create and implement a Customized Lending System with specific features outlined below;
4. The DEVELOPER has agreed to develop the said system under the terms and conditions set forth herein.

NOW, THEREFORE, for and in consideration of the foregoing premises, the Parties hereby agree as follows:

1. PROJECT DESCRIPTION

The project, titled "Customized Lending System", shall include the design, development, installation, and configuration of a comprehensive loan management and monitoring system that supports multiple branches and users, accessible via mobile, web, and desktop platforms.

2. SYSTEM FEATURES

Core Functionalities

- Multi-loan type support
- Automatic computation of daily/weekly payments and running balance per customer
- Customized charges (per loan type or individual adjustment)
- Insurance automatic computation based on principal
- Statement of Account generation per loan
- Financial KPI – Key Performance Indicators (Reference based of document sent by sir Jerome)

1. Portfolio Quality (most critical for MFIs)

These show how healthy the loan book is.

Portfolio at Risk (PAR)

- **PAR > 30 days** = (Outstanding balance of loans overdue >30 days ÷ Gross loan portfolio) × 100
- Gold standard: **< 5%**

PAR > 90 days

- Used for deeper risk assessment
- Should be **very low (< 2%)**

Write-off Ratio

- Written-off loans ÷ Average loan portfolio
- Shows how much is permanently lost

Loan Loss Reserve Ratio

- Loan loss reserves ÷ Gross loan portfolio
- Indicates how well losses are provisioned

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2. Profitability & Sustainability

MFIs must be profitable to survive — even if they're mission-driven.

Return on Assets (ROA)

- Net income ÷ Average total assets
- Measures overall efficiency

Return on Equity (ROE)

- Net income ÷ Average equity
- Shows return to owners/donors

Operational Self-Sufficiency (OSS)

- Operating revenue ÷ (Operating expenses + Financial costs + Loan loss provisions)
- **> 100% = sustainable**

Financial Self-Sufficiency (FSS)

- Adjusts OSS for subsidies and inflation
- True long-term sustainability indicator

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3. Efficiency & Productivity

How well the MFI uses its resources.

Operating Expense Ratio

- Operating expenses ÷ Gross loan portfolio
- Lower is better (often **< 20–25%**)

Cost per Borrower

- Total operating expenses ÷ Number of active borrowers

Borrowers per Loan Officer

- Active borrowers ÷ Number of loan officers
- Indicates staff productivity

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4. Liquidity & Solvency

Ability to meet obligations and absorb shocks.

Current Ratio

- Current assets ÷ Current liabilities

Debt-to-Equity Ratio

- Total liabilities ÷ Total equity
- MFIs are often leveraged but must stay within regulatory limits

Capital Adequacy Ratio (CAR)

- Equity ÷ Risk-weighted assets
- Very important for regulated MFIs

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5. Outreach & Scale (Social Performance)

These matter uniquely in microfinance.

Number of Active Borrowers

- Measures scale

Average Loan Size

- Gross loan portfolio ÷ Number of borrowers
- Smaller = deeper outreach to poorer clients

Women Borrower Ratio

- % of female borrowers
- Key social impact metric

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6. Growth Indicators

How fast the institution is expanding.

Portfolio Growth Rate

- % increase in loan portfolio year-on-year

Client Growth Rate

- % increase in active borrowers

- Credit scoring per customer
- Rate of return, overdue accounts, and past due analysis
- Unlimited borrowers, loans, and repayments

Administrative and Security Features

- Secure login with user access levels
- No transaction deletion, only reversals for security
- Audit trail of all changes and transactions
- Automatic backup: daily, weekly, monthly, and thrice daily
- Online, local, and external backup storage
- Remote system access and checking via the internet
- User management, password change, and access control
- Branch, collector, and account management
- Cash on hand, charts of accounts, deposits, withdrawals, adjustments, and bank charges management

Reporting Tools

- Loan List
- Daily Cash Report (DCR)
- Collections and Collection Sheets
- Collector List
- Statement of Accounts
- Payments Encoded / Reversed
- Inactive Loans / Fully Paid as of Date
- Monthly Collections / Monthly Released
- Past Due Loans Based on Maturity
- Separated past due clients or full report view

Additional Features

- Loan officers /Collector can enter transactions like his daily collection
- Customers can view their statements of account
- Online customer loan applications
- Loan officers can check loan records in the field
- Accessible through mobile phones, tablets, desktops, and laptops

3. SCOPE OF INSTALLATION

- Branch Coverage: 1 branch
- Computer Installations: 1–2 computers

4. PROJECT COST AND PAYMENT TERMS

Total Software Fee: ₱100,000.00

Payment Terms:

- 25% down payment upon project start = 25,000.00
- 50% after one (1) month (upon partial delivery and testing) = 50,000.00
- 25% after two (2) months (upon full delivery and acceptance) = 25,000.00

Kindly make all payments payable to **BRAYAN LEE A. BAUTISTA**
Metrobank Account:
Account Name : **BRAYAN LEE A. BAUTISTA**
Account Number: 809-3-76698812-2
Or Gcash: **BRAYAN LEE A. BAUTISTA**
0915-891-8530

Additional Fees:

- Additional Branch Installation — ₱20,000.00

Support & Maintenance:

- Monthly fee for support, maintenance and online server – 1,500.00/month
- 1,500.00/month for every additional branch

5. PROJECT TIMELINE

The project shall be completed within three (3) months from the date of the down payment, subject to mutual agreement and timely submission of all necessary data and requirements by the CLIENT.

6. CONFIDENTIALITY

Both Parties agree to maintain the confidentiality of client data, financial records, and system design, and to refrain from disclosing any proprietary information to third parties without mutual consent.

7. MODIFICATIONS AND CUSTOMIZATION

Any system modifications or additional features requested by the CLIENT after the project's completion may be subject to additional development costs, to be agreed upon in writing.

8. TERMINATION

Either party may terminate this Agreement with written notice under the following conditions:

- Breach of agreement terms;
- Non-performance or non-delivery without justified cause;
- Mutual consent between the parties.

9. EFFECTIVITY

This Agreement shall take effect upon signing by both Parties and remain valid until completion and full settlement of all obligations herein stated.

IN WITNESS WHEREOF, the Parties have hereunto affixed their signatures this ___ day of _______, *20* at _________________________.

CLIENT:
[Client Company Name: _____________________________]
Signature over Printed Name

DEVELOPER:

BRAYAN LEE A. BAUTISTA
Solutions Analyst/ IT Consultant
ZAPWEB